



Brecksville-Broadview Heights October 2019 5-Year Forecast

October 22, 2019

October and May Forecasts

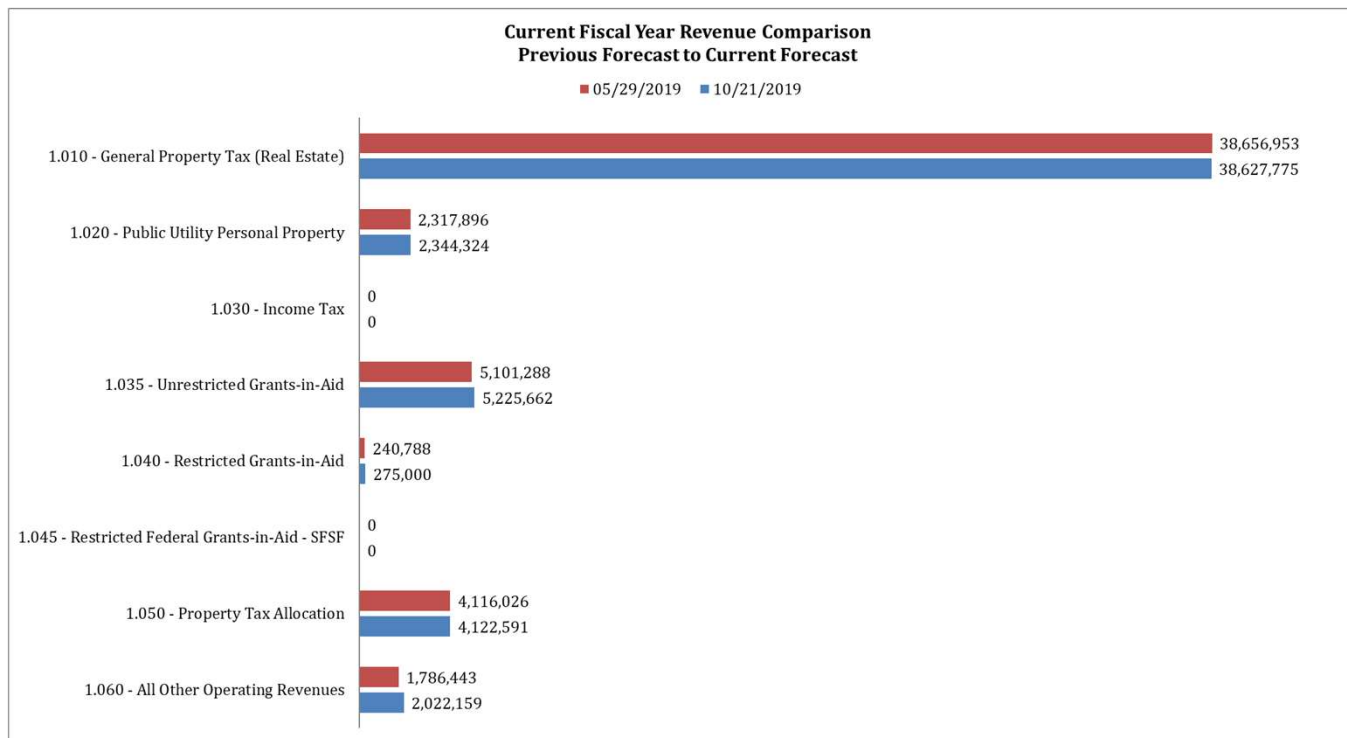
October 2019 Forecast	Fiscal Year 2020	Fiscal Year 2021	Fiscal Year 2022	Fiscal Year 2023	Fiscal Year 2024
Beginning Balance	17,475,486	18,825,867	18,691,948	16,747,090	13,007,895
+ Revenue	52,763,707	52,609,157	52,909,061	53,169,339	53,448,563
+ Proposed Renew/Replacement Levies	-	-	-	-	-
+ Proposed New Levies	-	-	-	-	-
- Expenditures	(51,413,326)	(52,743,076)	(54,853,919)	(56,908,534)	(59,181,691)
= Revenue Surplus or Deficit	1,350,381	(133,919)	(1,944,858)	(3,739,195)	(5,733,128)
Ending Balance	18,825,867	18,691,948	16,747,090	13,007,895	7,274,767

The FY 2023 expected fund balance has declined by nearly \$3.3 million from the May forecast.

Actual operating expenditures in FY 2019 were \$465,000 above the May forecast. This accounts for \$2.3 of the \$3.3 million drop in fund balance in FY 2023 (\$465,000*5).

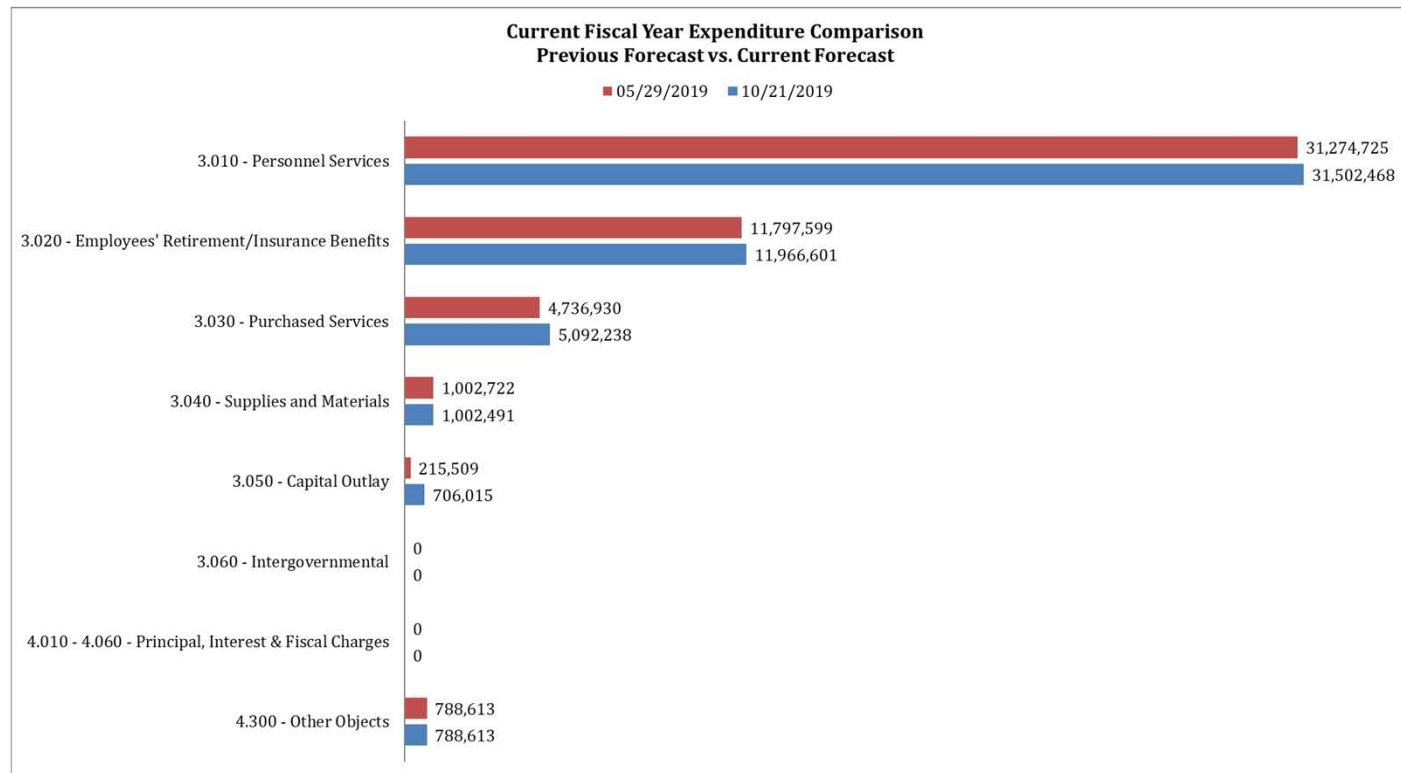
May 2019 Forecast	Fiscal Year 2019	Fiscal Year 2020	Fiscal Year 2021	Fiscal Year 2022	Fiscal Year 2023
Beginning Balance	15,646,443	17,913,275	20,006,671	20,381,108	19,151,100
+ Revenue	50,547,256	52,264,394	52,224,869	52,393,427	52,662,433
+ Proposed Renew/Replacement Levies	-	-	-	-	-
+ Proposed New Levies	-	-	-	-	-
- Expenditures	(48,280,424)	(50,170,998)	(51,850,432)	(53,623,435)	(55,528,655)
= Revenue Surplus or Deficit	2,266,832	2,093,396	374,437	(1,230,008)	(2,866,222)
Ending Balance	17,913,275	20,006,671	20,381,108	19,151,100	16,284,878

October and May Forecasts



The only revenue line that has changed much from the May forecast is Other Revenue

October and May Forecasts



The increases are primarily because the higher spending in FY 2019 created higher base amounts going forward.

Enrollment

Reference Line - Description	SFPR Data					
						June #2
	FYE 2014	FYE 2015	FYE 2016	FYE 2017	FYE 2018	FY 2019
1 - Formula ADM	3,946.77	3,870.53	3,868.28	3,790.21	3,656.25	3,667.90
		-1.93%	-0.06%	-2.02%	-3.53%	0.32%
2 - Resident / Adjusted Total ADM	4,055.18	3,984.91	3,910.54	3,824.26	3,772.99	3,790.03
		-1.73%	-1.87%	-2.21%	-1.34%	0.45%
3 - Resident ADM (District Educated)	3,931.72	3,879.46	3,806.71	3,735.34	3,667.52	3,663.46
		-1.33%	-1.88%	-1.87%	-1.82%	-0.11%
4 - Total District Educated ADM	3,875.22	3,809.92	3,808.20	3,735.89	3,669.28	3,667.46
		-1.69%	-0.05%	-1.90%	-1.78%	-0.05%
11 - Economic Disadvantaged ADM	366.59	457.84	381.97	483.76	433.67	423.30
		24.89%	-16.57%	26.65%	-10.35%	-2.39%
12 - Economic Disadvantaged %	9.04%	11.49%	9.77%	12.65%	11.49%	11.17%
		27.09%	-14.98%	29.51%	-9.14%	-2.83%
13 - Special Education ADM	368.50	378.76	381.15	355.67	350.01	355.97
		2.78%	0.63%	-6.69%	-1.59%	1.70%

The number of students educated in the district has dropped by about 200 over the past five years, but last year was stable. This does not impact base state aid but will hold Student Wellness funds flat if enrollment remains flat, which is the assumption in the forecast.

Revenue Overview

	Prev. 5-Year Avg. Annual Change	PROJECTED					5-Year Avg. Annual Change
		Fiscal Year 2020	Fiscal Year 2021	Fiscal Year 2022	Fiscal Year 2023	Fiscal Year 2024	
Revenue:							
1.010-Real Estate	3.83%	6.58%	-0.99%	0.61%	0.50%	0.56%	1.45%
1.020-Public Utility	4.59%	2.28%	3.73%	2.50%	2.49%	2.45%	2.69%
1.030-Income Tax	n/a	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
1.035-State Funding	-0.19%	-0.29%	0.00%	0.00%	0.00%	0.00%	-0.06%
1.040-Restricted Aid	1001.54%	-0.05%	0.00%	0.00%	0.00%	0.00%	-0.01%
1.045-Restr Federal SFSF	n/a	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
1.050-Property Tax Alloc	-6.27%	0.29%	0.32%	0.55%	0.54%	0.37%	0.41%
1.060-All Other Operating	5.31%	4.94%	-0.95%	-0.88%	-0.82%	-0.76%	0.31%
1.070-Total Revenue	2.31%	5.05%	-0.58%	0.57%	0.49%	0.53%	1.21%

Operating revenues are expected to grow by 1.5 percent per year over the forecast period, compared to 2.3 percent over the prior five years. The main driver in the prior five years was the new levy approved in 2017.

Valuation Assumptions

Tax Year	Valuation Change Triennial Update/Reappraisal/BOR						Valuation Change New Construction/Exempted/Other							
	Agricultural YOY \$ Chg.	YOY %	Residential YOY \$ Chg.	YOY %	Class II (All) YOY \$ Chg.	YOY %	Agricultural YOY \$ Chg.	YOY %	Residential YOY \$ Chg.	YOY %	Class II (All) YOY \$ Chg.	YOY %	PP/PUPP YOY \$ Chg.	YOY %
2013	0	0.0%	(1,627,520)	-0.2%	932,700	0.5%	0	0.0%	2,192,740	0.3%	3,621,920	1.8%	1,465,610	5.8%
2014	0	0.0%	(1,538,120)	-0.2%	(4,259,320)	-2.1%	0	0.0%	1,232,700	0.2%	1,897,090	0.9%	658,860	2.5%
2015	19,430	5.1%	25,054,530	3.2%	(15,025,050)	-7.5%	0	0.0%	2,289,430	0.3%	(10,788,540)	-5.4%	(62,610)	-0.2%
2016	0	0.0%	904,860	0.1%	3,089,700	1.8%	35,210	8.7%	4,757,430	0.6%	1,551,200	0.9%	1,119,270	4.1%
2017	3,820	0.9%	(705,010)	-0.1%	(551,020)	-0.3%	121,840	27.8%	7,279,630	0.9%	2,373,160	1.3%	808,610	2.9%
2018	9,210	1.6%	79,050,750	9.6%	11,707,410	6.5%	(810)	-0.1%	4,881,010	0.6%	3,057,240	1.7%	97,040	0.3%
2019	-	0.0%	-	0.0%	-	0.0%	-	0.0%	3,400,000	0.4%	1,650,000	0.8%	1,353,590	4.6%
2020	-	0.0%	-	0.0%	-	0.0%	-	0.0%	3,406,580	0.4%	1,669,030	0.8%	765,112	2.5%
2021	-	0.0%	25,651,550	2.8%	(602,760)	-0.3%	0	0.0%	3,420,207	0.4%	1,685,380	0.8%	784,239	2.5%
2022	-	0.0%	-	0.0%	-	0.0%	-	0.0%	3,450,000	0.4%	1,700,000	0.8%	795,000	2.5%
2023	-	0.0%	-	0.0%	-	0.0%	-	0.0%	3,500,000	0.4%	1,700,000	0.8%	800,000	2.4%

Residential values went up 9.6 percent in the district at the 2018 revaluation. They are forecast to increase 2.8 percent at the 2021 triennial update. Because the district is not at the 20-mill floor, higher growth rates in 2021 would yield little additional revenue to the district.

Student Wellness Aid

Step 2 - Student Wellness Aid

Wellness aid is driven by the percentage of children in the district living in homes with incomes below 185% of the federal poverty rate. The poverty data is from the US Census Bureau's American Community Survey, not current economic disadvantage data and will not change during the biennium. The districts are divided into quintiles based on that rate, with quintile one being the group of districts with the highest rates of poverty. Districts in quintile one receive \$250 per pupil in 2020 and \$360 in 2021. The per pupil amounts in quintiles 2-5 are on a sliding scale that declines as poverty rates decline.

Poverty Rate	Poverty Quintile	FY 2020 Per Pupil Amount	FY 2021 Per Pupil Amount
12.0%	5	\$37.01	\$52.67

In FY 2020, the base per pupil amount ranges from \$20 (quintile 5) to \$250 (quintile 1).

	Estimated FY 2020 Student Wellness Aid	Estimated FY 2021 Student Wellness Aid
Estimated Wellness Aid	\$135,725	\$193,202

Student Wellness Aid is expected to be about \$136,000 in FY 2020 and \$193,000 in FY 2021. This money is to be receipted to Fund 467 and will not show up in the five-year forecast. The district is planning new programming using these revenues. Those expenditures are forecasted to move to the operating budget in FY 2022.

Expenditure Overview

	Prev. 5-Year Avg. Annual Change	PROJECTED					5-Year Avg. Annual Change
		Fiscal Year 2020	Fiscal Year 2021	Fiscal Year 2022	Fiscal Year 2023	Fiscal Year 2024	
Expenditures:							
3.010-Salaries	0.20%	3.45%	3.24%	2.69%	2.70%	2.96%	3.01%
3.020-Benefits	3.38%	8.10%	7.10%	6.59%	6.73%	6.95%	7.09%
3.030-Purchased Services	4.45%	5.74%	3.51%	6.72%	3.51%	3.57%	4.61%
3.040-Supplies & Materials	4.96%	-14.12%	1.98%	1.98%	1.98%	1.98%	-1.24%
3.050-Capital Outlay	-2.85%	584.79%	-73.82%	0.00%	0.00%	0.00%	102.19%
3.060-Intergov	n/a	n/a	n/a	n/a	n/a	n/a	n/a
4.010-4.060-Debt	-20.00%	n/a	n/a	n/a	n/a	n/a	n/a
4.300-Other Objects	-0.28%	0.83%	2.00%	2.00%	2.00%	2.00%	1.77%
4.500-Total Expenditures	1.17%	5.52%	3.06%	4.01%	3.75%	4.00%	4.07%

Operating expenditures are expected to grow by 4.1 percent per year over the forecast period, compared to 1.2 percent over the prior five years. The main drivers through the forecast are salaries and benefits.

Salary Assumptions

Percentage of Total Expenditures:						
62.3%	Actual	Projected				
	2019	2020	2021	2022	2023	2024
Actual Amount Expended in Prior Year:	29,709,388	30,450,826	31,502,468	32,524,235	33,399,251	34,300,518
Express Model - Annual Percentage Increase Applied to Salary Basis	2.50%	3.50%	3.50%	3.00%	3.00%	3.00%
Dollar Impact of Express Model	742,735	1,067,435	1,102,879	975,727	1,001,978	1,029,016

Salaries net of any savings from attrition increased about 2.5 percent from FY 2018 to FY 2019. This year and next, growth is anticipated to be 3.5 percent, followed by three percent each year thereafter.

Benefit Assumptions

Insurance Plans and Rates							
Plan Description	Plan Type	2019	2020	2021	2022	2023	2024
		Actual	Insurance Rate Projections				
Medical-Single-Base Plan	Medical	9.00%	10.00%	10.00%	10.00%	10.00%	10.00%
Medical-Family-Base Plan	Medical	9.00%	10.00%	10.00%	10.00%	10.00%	10.00%
Medical-Single-Ideal	Medical	9.00%	10.00%	10.00%	10.00%	10.00%	10.00%
Medical-Family-Ideal	Medical	9.00%	10.00%	10.00%	10.00%	10.00%	10.00%
Prescription-Single-Base Plan	Rx	7.00%	10.00%	10.00%	10.00%	10.00%	10.00%
Prescription-Family-Base Plan	Rx	7.00%	10.00%	10.00%	10.00%	10.00%	10.00%
Prescription-Single-Ideal	Rx	7.00%	10.00%	10.00%	10.00%	10.00%	10.00%
Prescription-Family-Ideal	Rx	7.00%	10.00%	10.00%	10.00%	10.00%	10.00%

Health insurance premiums, including prescription costs, are expected to grow 10 percent each year of the forecast period.

Purchased Services Assumptions

Description	2018	2019	2020	2021	2022	2023	2024
471 Tuition Paid To Other Dist Ir	33,209	41,196	40,943	41,762	42,597	43,449	44,318
% Change from prior year	0.0%	24.1%	-0.6%	2.0%	2.0%	2.0%	2.0%
475 Special Ed Tuition	385,951	537,867	571,900	614,793	660,902	710,470	763,755
% Change from prior year	24.6%	39.4%	6.3%	7.5%	7.5%	7.5%	7.5%
478 Charter School Payments	199,359	237,741	244,800	249,696	254,690	259,784	264,979
% Change from prior year	16.6%	19.3%	3.0%	2.0%	2.0%	2.0%	2.0%
47 Tuition Outside the District	482,556	601,262	720,000	774,000	832,050	894,454	961,538
% Change from prior year	32.2%	24.6%	19.7%	7.5%	7.5%	7.5%	7.5%

Tuition costs for students leaving the district to be educated have been a significant cost driver the last couple of years. This spending is primarily outside the district's control. Growth rates are expected to slow, but higher than expected growth could cause additional spending pressures.

Key Takeaways

- The district is expected to begin spending more than it is taking in during the 2020/2021 school year
- The fund balance is expected to peak at about \$19 million, 36 percent of annual spending
- By the end of the 2023/2024, the balance is projected to be under 13 percent of annual expenditures
- The operating deficit at the end of the 2020/2021 school year is expected to be the equivalent of a 1.65 mill levy
 - By 2023/2024, that grows to 4.8 mills

Forecast5 Ohio Staff

Debra Hoelzle

dhoelzle@forecast5analytics.com

Matt Bunting

mbunting@forecast5analytics.com

Jared Bunting

jbunting@forecast5analytics.com

Ryan Ghizzoni

rghizzoni@forecast5analytics.com

Stacy Overly

soverly@forecast5analytics.com

Ernie Strawser

estrawser@forecast5analytics.com

Kent Zeman

kzeman@forecast5analytics.com

Mike Sobul

msobul@forecast5analytics.com

FORECAST5ANALYTICS.COM

The logo for Forecast5 Analytics is displayed on a dark gray background. The word "FORECAST" is in white, uppercase letters. The number "5" is in orange and has a small trademark symbol (TM) to its upper right. Below "FORECAST5", the word "ANALYTICS" is written in orange, uppercase letters.

FORECAST⁵
ANALYTICS